presented by highly correlated assets, he pointed out that the addition of a "risky" asset to a portfolio can reduce the portfolio's overall riskiness by increasing its diversification.

- Finally, the ultimate contribution of the Chicago School came through the assertion that the "goodness" of an investment—and of a performance record—should be evaluated based on the relationship between its return and its risk. A safe investment is not necessarily a good investment, and a risky investment is not necessarily a bad investment. Good-enough performance prospects can compensate for the riskiness of a risky investment, rendering it both attractive and prudent.

Through this process, the practice of investing evolved from risk avoidance to risk management. Today we see few absolute rules of investing. In fact, it's hard to think of anything that's off-limits, and most investors will do almost anything to make a buck. The 1940 edition of *Security Analysis* marks an interesting turn toward what we would consider very modern thinking—it references some absolute standards, but dismisses many others and reflects an advanced attitude toward sensible fixed-income investing.

INVESTMENT ABSOLUTES

The 1940 edition certainly contains statements that seem inflexible. Here are some examples:

> Deficient safety cannot be compensated for by an abnormally high coupon rate. The selection of all bonds for investment should be subject to rules of exclusion and to specific quantitative tests. (Chap. 6)

> If a company's junior bonds are not safe, its first-mortgage bonds are not a desirable fixed-value investment. For if the second mortgage is unsafe, the company itself is weak, and generally speaking there can be no high-grade obligations of a weak enterprise. (Chap. 6)